

Spokespersons



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N.K. Minda, CMD,
Uno Minda



Shamsher Dewan, Senior Vice
President and Group Head -
Corporate Ratings, ICRA Limited



Shradha Suri Marwah,
President of ACMA & CMD
Subros Ltd



Sunjay Kapur, Chairman, Sona
Comstar & Deputy Chair, CII
Northern Region



Vikram Handa,
Managing Director,
Epsilon Advanced Materials



Vinod Aggarwal, President,
Society of Indian Automobile
Manufacturers (SIAM)

or indirectly, are in a position to: Exercise twenty-six per cent or more of voting rights in the other enterprise; Or Appoint more than fifty per cent of members of Board of Directors in the other enterprise (as defined in the FDI Policy Circular of 2020)."

"Indian companies collaborating with foreign brands will have a big say in the partnerships; the policy has made sure of it," says the analyst. She adds that apart from the Indian market, which will be the focus for initial few years, a lot of foreign OEMs might also want to explore India as a manufacturing and export base for EVs. "Hyundai, Kia, Suzuki, and a couple of other OEMs are already doing that for petrol and diesel cars. Many will calculate if they want to explore the same for EVs as well," she says.

The Indian industry's fear of OEMs dumping petrol and diesel cars in India at low prices might

also be done away by the policy. Last year, the financial think tank Carbon Tracker had come out with a report saying that, unless governments adopt policies to seize the benefits of the EV revolution, India and other nations in the Global South risk becoming a dumping ground for used internal combustion engine (ICE) vehicles.

"While the policy might create a win-win for the industry and the end consumer in India, whether it will have an impact on the global EV market remains the big question. It is not possible to manufacture an electric car without having some Chinese element in it," says the analyst.

According to India's Ministry of Commerce, India is the third largest automotive market in the world, and it could lead the global transition from conventional ICE powertrain to a more efficient and decarbonised EV technology. Further, NITI Aayog

estimates that by the year 2030, EV transition for 2-wheelers will be 35 to 40%, 9 to 11% for private 4-wheelers, 20 to 25% for shared 4-wheelers, and 13 to 16% for buses. The country saw sales of 4,101,600 passenger vehicles during the January to December 2023 period.

Vinod Aggarwal, President, Society of Indian Automobile Manufacturers (SIAM), says, "Various schemes of the government of India that have been operational now are showing good results, and are also helping the auto industry to seamlessly transform to new powertrain realms. The auto industry is optimistic that the growth momentum would continue in 2024 as well." But, by the time of this article going to press, SIAM was yet to make a statement on the new EV policy. **EFY**

Mukul Yudheer Singh is Editor for MOVES and ElectronicsB2B at EFY Group